Syllabus Edition
First teaching 2025
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Business Growth

Exam code: 0450, 0986 & 0264, 0774

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Why grow a business?

- Many firms start small and will grow into large companies or even **multi-national corporations**
  - For example, **Amazon** and **Dell** both started in entrepreneurs' garages

Reasons why businesses grow

- The owner's or manager's desire to **run a large business** & continually seek to grow it
- The owner's desire for **higher** levels of **market share** and **profitability**
- The desire for **stronger market power** (monopoly) over its customers and suppliers
- The desire to **reduce costs by benefiting from lower unit costs** as output increases
- Growth provides opportunities for **product diversification**
- Larger firms often have **easier access** to finance

Internal business growth

- Internal growth that is **driven by organic expansion** using reinvested profits or loans
- It is usually achieved by:
  - Gaining a greater **market share**
  - Product or market **diversification**
  - Opening new outlets
  - International expansion (new markets)
  - Investing in **new technology** or production machinery

Examples of internal growth

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Apple	• **International expansion (new markets):** Apple expanded into new markets by opening its stores in new countries, such as China and India, and by partnering with telecom providers to sell its products.
Google	• **Product innovation:** Google introduced new products, such as Google Drive and Google Maps, to complement its search engine and advertising businesses
Disney	• **Product diversification:** Disney has diversified into several areas, such as theme parks, cruise lines, television networks and movie studios.

Help me understand

- **Product diversification** opens up new **revenue streams** for a business
  - Firms may spend money on **research and development** or **innovation** to existing products to help create a new revenue stream
- Firms often **grow internally** to the point where they are in a financial position to **integrate** (merge or buy) with others

Evaluating internal growth

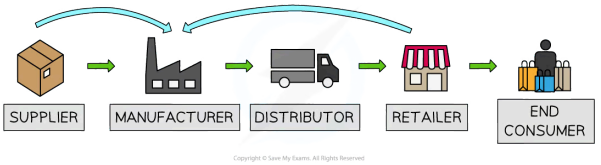
Advantages	Disadvantages
• The **pace of growth** is manageable • **Less risky**, as growth is financed by profits and there is existing business expertise in the industry • The management knows and understands every part of the business	• The pace of growth can be slow and frustrating • Not necessarily able to benefit from lower **unit costs** (e.g. **bulk purchasing discounts** from suppliers) as larger firms would be able to • Access to **finance** may be limited

External business growth

- External business growth is when a business expands by joining with or buying other businesses rather than growing on its own
  - **A merger** occurs when two or more companies combine **to form a new company**
    - The original companies cease to exist and their **assets** and **liabilities** are transferred to the newly created entity
  - **A takeover** occurs when **one company purchases another company**, often against its will

Vertical integration

- Vertical integration refers to the merger or takeover of **another firm in the supply chain** or different stage of the production process
  - **Forward vertical integration** involves a **merger** with or **takeover** of a firm further forward in the supply chain
    - For example, a dairy farmer merges with an ice cream manufacturer
  - **Backward vertical integration** involves a merger with or takeover of a firm further backwards in the supply chain
    - For example, an ice cream retailer takes over an ice cream manufacturer



A firm can grow through forward or backward vertical integration, merging with or taking over another business in the supply chain

Evaluating vertical integration

Advantages	Disadvantages
• Cuts production costs by removing middlemen • Lower costs increase competitiveness • Greater supply chain control and more reliable access to raw materials • Better control over raw material quality • Forward integration increases profit and brand visibility	• Diseconomies of scale (e.g. duplicate management roles) • Culture clash between merged firms • Lack of experience in new business area may reduce efficiency • High acquisition cost may take time to recover

Horizontal integration

- Horizontal integration is the merger or takeover of a firm at the same stage of the production process
  - For example, an ice cream manufacturer merges with another ice cream manufacturer

Evaluating horizontal integration

Advantages	Disadvantages
• Rapid market share growth	• Diseconomies of scale (e.g. duplicate roles)

• Shared industry knowledge improves success chances • May gain new expertise	

Examiner Tips and Tricks

Don't just state methods of growth (internal or external) – make sure you can explain their **advantages and disadvantages**, as questions often test your ability to judge which method is most suitable in a given situation

Problems of business growth

- In some cases, growing the size of a business can fail to improve its **profitability** and can lead to **cash flow** and coordination problems

Problems and solutions of business growth

Businesses are often faced with a range of challenges when they grow

Poor communication

- Longer **chains of command** and wider **spans of control** for managers may lead to **slower decision-making times** and inefficiency

Solution

- **Use the latest communication technologies,** such as instant video calls, to improve communication between managers and workers
- **Decentralisation** may help to delegate decision-making

Larger firms are often harder to control

Solution

- Operate as a series of **smaller units** which allows local or **functional area** managers to have more control
- Increase **delegation** in order to **empower** workers and get jobs done more quickly

High costs and cashflow problems

- Expansion can be **very expensive** as it may involve developing a new product range or buying a new factory
  - **High costs in the short/medium term** means the business may need additional finance to avoid cashflow problems

Solution

- **Grow slowly** using profits rather than loans to fund gradual and less risky expansion
- **Manage cash flow** carefully, making use of retained profits and short-term borrowing to counter cash flow shortfalls

Difficulties of mergers and acquisitions

- A **culture clash** may occur if a merger or acquisition takes place between two different firms due to different management styles

Solution

- Ensure good communication so employees are less likely to be resistant to change
- Take time to carefully negotiate and plan mergers/acquisitions to reduce 'teething problems'

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